

## A BOARD-LEVEL OPERATIONS BRIEFING

# Beyond the Diagnostic: Making BPA Stick

How consultation engagements transition from diagnostic insight to an operate model that defends margin in board reviews.

📄 O3Xs Research

🕒 11 min read

📅 March 2026

THE JOURNEY ● DIAGNOSE → ● IMPLEMENT → ● OPERATE

## THE THESIS

The diagnostic finds the savings. Only an *operate model* keeps them on the P&L long enough to show up in a board review.

10%

of cost-reduction programs still show savings after three years.

# 01 THE PROBLEM

## Diagnostics are easy. Keeping the savings is not.

Every business-process-automation engagement begins with a confident number: the savings a diagnostic uncovers. The hard truth is that **identifying savings and sustaining them are different disciplines** — and most programs are built only for the first. The result is a slow, invisible leak that surfaces, painfully, in the board review.

### 10%

of cost-reduction programs still show sustained results three years on

MCKINSEY [1]

### 30–50%

of initial BPA / RPA implementations fail to deliver the expected value

INDUSTRY STUDIES [3]

### ~50%

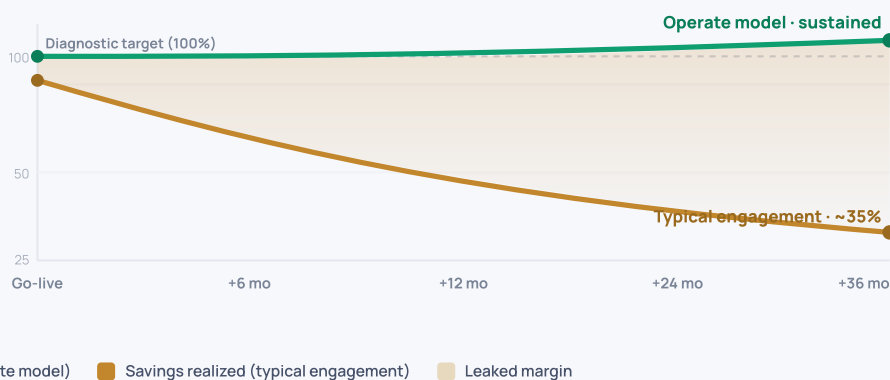
of automation projects never scale beyond the initial pilot

GARTNER [4]

### THE SIGNATURE FAILURE: SAVINGS DECAY

#### The decay curve — why the diagnostic number rarely survives

Realized savings as a share of the diagnostic target, after go-live



ILLUSTRATIVE STRUCTURE · SOURCES: MCKINSEY [1,2]; INDUSTRY STUDIES [3]

### THREE REASONS BPA SAVINGS LEAK BACK INTO THE COST BASE

**1 · The engagement ends at go-live.** Diagnostic and implementation teams demobilize once automations are live, leaving no one accountable for the number. With no standing owner, exceptions accumulate, work-arounds creep in, and process drift quietly erodes the benefit — only about **one in four organizations sustains its reductions even four years out.**<sup>2</sup>

**2 · Automations are fragile, and maintenance is underfunded.** Bots break when upstream systems change; ongoing maintenance can consume **up to 60% of total automation cost**, a line almost never budgeted in the original business case.<sup>6</sup> Underfunded, the estate decays.

**3 · The savings were never booked.** If a benefit isn't written into the operating baseline and tracked to a P&L line finance recognizes, it cannot be defended. It simply dissolves into the next budget cycle — and the board is left asking where the promised savings went.

# 02 THE SOLUTION

## The Operate Model: four disciplines that make BPA stick

Stickiness is engineered, not hoped for. An operate model converts a one-time diagnostic into a **standing capability** — with an owner, live instrumentation, a governance cadence, and savings booked to the P&L. Each discipline closes one of the three leaks.

01

**Standing Ownership**

A named accountable owner and a small operate team that persists past go-live — not a project that demobilizes. Change-management gaps drive a large share of failures; a permanent owner closes them.

● CLOSES: THE ENGAGEMENT ENDS

02

**Live Instrumentation**

Every automated process reports cost-per-transaction, cycle time, accuracy, exception and utilization rates in real time. Measure adoption and value — not the number of bots deployed.

● CLOSES: SILENT PROCESS DRIFT

03

**Governance Cadence**

A monthly operating review, drift detection, exception triage, and a centre of excellence that sets standards and funds maintenance — the discipline that keeps a fragile estate healthy.

● CLOSES: FRAGILITY & UNDER-MAINTENANCE

04

**Margin Accounting**

Every automation is tied to a P&L line the CFO recognizes and booked into the operating baseline, so realized savings are traceable, defensible, and impossible to quietly reabsorb.

● CLOSES: SAVINGS WERE NEVER BOOKED

FROM PROJECT TO CAPABILITY — THE OPERATE MATURITY LADDER

LEVEL 1

**Piloted**

Automations live; no standing owner or metrics.

LEVEL 2

**Implemented**

Deployed at scale, managed reactively.

LEVEL 3

**Instrumented**

Live KPIs; drift visible and triaged.

LEVEL 4

**Governed**

Monthly cadence; CoE standards; funded.

LEVEL 5

**Compounding**

Savings booked & defended; benefits grow.

PROJECT MINDSET VS. OPERATE MINDSET

| DIMENSION      | PROJECT MINDSET            | OPERATE MINDSET                     |
|----------------|----------------------------|-------------------------------------|
| Ends at        | Go-live / handover         | Never — it is a standing capability |
| Owner          | Disbands after delivery    | Named, accountable, permanent       |
| Success metric | Bots deployed, go-live hit | Sustained savings on the P&L        |
| Maintenance    | Unbudgeted afterthought    | Funded line in the operate model    |
| Board view     | A promise made once        | A defended number, reviewed monthly |

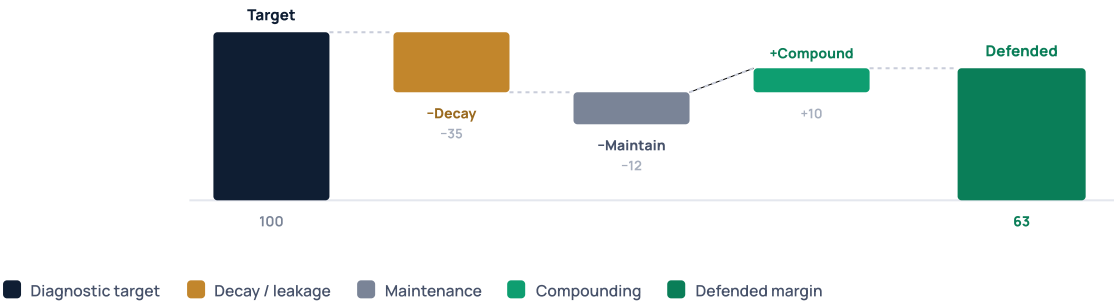
# 03 THE BOARDROOM

## Defending margin when the board asks

A board review is where automation savings are won or lost. The operate model produces a single, defensible artefact: a **margin bridge** that traces the diagnostic promise to the margin actually on the books — and a scorecard the CFO can stand behind.

### The margin bridge — from diagnostic promise to defended margin

Annualized, illustrative · indexed to the diagnostic target



ILLUSTRATIVE · THE OPERATE MODEL CONVERTS A FADING PROMISE INTO A DEFENDABLE, COMPOUNDING NUMBER

### THE ONE ARTEFACT THAT SURVIVES SCRUTINY

| Automation Margin Scorecard  |        |            | BOARD-READY |
|------------------------------|--------|------------|-------------|
| METRIC                       | VALUE  | VS. TARGET |             |
| Verified run-rate savings    | \$8.4M | ON TRACK   |             |
| Savings sustained vs. target | 92%    | DEFENDED   |             |
| Cost-to-serve trend (YoY)    | -14%   | IMPROVING  |             |
| Exception / break rate       | 3.1%   | WATCH      |             |
| Payback achieved             | 11 mo  | AHEAD      |             |

### WHAT EARNS A CFO'S SIGNATURE

Boards do not reward activity; they reward **traceable, sustained margin**. Three tests decide whether a number survives the room:

- Provenance.** Every dollar maps to a baseline finance signed off and a process it can audit — not a modelled estimate.
- Persistence.** Savings are shown sustained over time, with decay actively managed, not assumed away.
- Trajectory.** Cost-to-serve is bending in the right direction, evidence the capability compounds rather than fades.

#### THE LEVERAGE

Aligning automation to business strategy can lift first-year ROI by **up to 200%**<sup>[7]</sup> — but only operating discipline keeps that return on the P&L past year one.

# 04 THE TRANSITION

## From diagnostic to operate in 100 days

The handover from insight to operations is where most value is won or lost. This 100-day arc installs the operate model before the implementation team demobilizes — so the savings never get a chance to leak.

|                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                |                                                                                                                                                                                                                                      |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div>DAYS 0-15</div> <div>Lock the baseline</div> <ul style="list-style-type: none"><li>● Finance signs off the diagnostic number as the baseline</li><li>● Name the accountable operate owner</li><li>● Map each saving to a P&amp;L line</li></ul> | <div>DAYS 15-45</div> <div>Instrument</div> <ul style="list-style-type: none"><li>● Stand up live KPI telemetry per process</li><li>● Set acceptance &amp; exception thresholds</li><li>● Baseline cost-to-serve and break rate</li></ul> | <div>DAYS 45-75</div> <div>Govern</div> <ul style="list-style-type: none"><li>● Launch the monthly operating review</li><li>● Stand up the CoE &amp; fund maintenance</li><li>● Turn on drift detection &amp; triage</li></ul> | <div>DAYS 75-100</div> <div>Defend</div> <ul style="list-style-type: none"><li>● Produce the first board-ready margin bridge</li><li>● Bank savings into the operating baseline</li><li>● Agree the ongoing review cadence</li></ul> |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### THE TRANSITION PLAYBOOK

|                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                         |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div>DO</div> <ul style="list-style-type: none"><li>✓ Install the operate owner <b>before</b> the project team leaves</li><li>✓ Get finance to co-sign the baseline on day one</li><li>✓ Fund maintenance as a standing line, not a contingency</li><li>✓ Measure sustained savings and adoption, not bot count</li><li>✓ Rehearse the board narrative the same quarter you go live</li></ul> | <div>AVOID</div> <ul style="list-style-type: none"><li>✗ Treating go-live as the finish line</li><li>✗ Leaving the savings number unowned after handover</li><li>✗ Booking benefits no one is accountable to track</li><li>✗ Under-budgeting maintenance and change management</li><li>✗ Letting the diagnostic deck become the only evidence</li></ul> |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

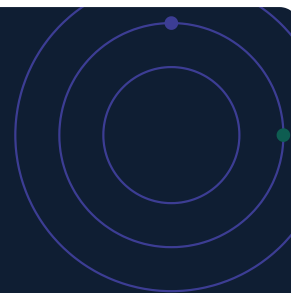
THE LEADERSHIP TAKEAWAY

The diagnostic is the cheapest, easiest part of any BPA program — and the least durable. **Margin is defended in the operate phase or not at all.** Treat the transition from insight to operations as the main event, install ownership and instrumentation before the team disbands, and the savings the board was promised are still there when the board asks.

## AI ENGINEERING STUDIO

# We don't just find the savings. We operate them.

03Xs is an AI engineering studio that builds systems to engineer trust into how enterprises operate and deliver. Our model is built for the part most engagements skip — the operate phase, where margin is actually defended — with one team accountable for the result long after go-live.



## THE O<sup>3</sup> OPERATING MODEL

The framework behind every engagement maps exactly to this report: diagnose, implement, and — the discipline that makes it stick — operate.

01

### Optimize

The diagnostic. We map value leakage across operations, revenue, and delivery — quantifying what should and should not be automated.

PERFORMANCE DIAGNOSTIC

02

### Orchestrate

The build. We design and deploy AI workflows integrated with existing systems — no rip-and-replace, tied to business outcomes.

ROI-LINKED IMPLEMENTATION

03

### Operate

The discipline this report is about. We stay post go-live — instrumenting KPIs, detecting drift, and defending margin until it compounds.

MANAGED OPERATIONS LAYER

## SERVICE 01 · CONSULTATION

### Business process automation

End-to-end automation of how your business already runs — mapping leakage, orchestrating AI across existing workflows, and operating until margin and performance compound.

Maximize results

Minimize waste

Defended margin

## SERVICE 02 · FORGE AI

### Enterprise SDLC platform

AI-native software delivery on your repository — intake through verification and merge-ready output — engineered to lower cost per shipped feature without replacing your stack.

Faster releases

Lower cost / feature

Governed scale

## Make your savings stick.

Book a diagnostic — and an operate plan to defend it. Contact [contact@o3xs.com](mailto:contact@o3xs.com)

[o3xs.com](https://o3xs.com)

SOURCES

# References

This briefing synthesizes publicly available research from leading analyst and advisory institutions. Figures are drawn from the most recent editions available at time of writing (March 2026) and are cited for directional benchmarking; figures marked "illustrative" depict structure, not measured results.

[1] **McKinsey & Company.** Research on overhead and cost-reduction programs finds only about 10% of cost-reduction initiatives show sustained results three years later. *McKinsey & Company; "Five ways CFOs can make cost cuts stick," 2010–2019.*

[2] **McKinsey & Company.** "Can you achieve and sustain G&A cost reductions?" — of 238 S&P Global 1200 companies, roughly one in four sustained general-and-administrative cost reductions over a four-year period. *McKinsey & Company, 2016.*

[3] **Industry studies (incl. Deloitte; sector analyses).** An estimated 30–50% of initial RPA / business-process-automation implementations fail to deliver the expected value, commonly attributed to process, change-management, and governance gaps. *Various, 2020–2024.*

[4] **Gartner.** Approximately half of robotic-process-automation initiatives fail to scale beyond initial pilots, frequently due to rigid architectures and limited reusability. *Gartner, Inc., 2022–2024.*

[5] **Deloitte.** Global Intelligent Automation / RPA surveys cite leading barriers to scaling automation, including process fragmentation, integration, skills, and change management. *Deloitte, 2020–2023.*

[6] **Forrester Research.** Ongoing maintenance can account for a substantial share — by some estimates up to roughly 60% — of total RPA implementation cost over the solution lifecycle. *Forrester Research, 2021–2023.*

[7] **McKinsey & Company.** Aligning automation investment with business strategy is associated with materially higher returns, with first-year ROI uplift cited as high as ~200% in leading implementations. *McKinsey & Company, 2022–2024.*

[8] **O3Xs.** The O<sup>3</sup> Operating Model — Optimize, Orchestrate, Operate — and the Managed Operations Layer. *o3xs.com, 2026.*

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Operations Excellence Series · O3Xs Research · March 2026 · v1.0